No. L-15016/95/2020-MPS
Government of India
Ministry of Agriculture & Farmers Welfare
(Department of Agriculture & Farmers Welfare)

Krishi Bhawan, New Delhi.
Dated the 29th October, 2024

To

The Chief Secretary of all State Government/UTs

Subject : Revised guidelines for Price Support Scheme (PSS), Price Deficit Payment Scheme (PDPS) & Market Intervention Scheme (MIS) under PM-AASHA- Regarding.

Sir,

Please find enclosed herewith the revised guidelines for Price Support Scheme (PSS), Price Deficit Payment Scheme (PDPS) & Market Intervention Scheme (MIS) under PM-AASHA to be effective from Kharif Marketing Season 2024-25.

2. This revised guidelines will supersede all the previous guidelines issued for implementation of PSS, PDPS & MIS.

3. You are, therefore, requested to kindly take due notice of the above guidelines while initiating the proposals on PSS, PDPS & MIS in future.

(Samuel Praveen Kumar)
Joint Secretary to the Government of India

Copy to :

1. Secretary, Ministry of Cooperation, Atal Akshay Urja Bhawan, Lodhi Road, New Delhi.
2. Adviser, Costing Cell, DA&FW, Krishi Bhawan, New Delhi
3. Secretary, Department of Consumer Affairs, Krishi Bhawan, New Delhi
4. Secretaries (Agriculture/Cooperation) of all States and UTs.
5. Managing Director, NAFED, New Delhi.
6. Managing Director, NCCF, New Delhi.
7. Canara Bank, Large Cooperative Branch, Connaught Place, New Delhi.

Copy also forwarded for information to:

PS to AM/ MOS/Sr. PPS to Secretary /Addl. Secretary/AS&FA, (DA&FW)

सत्यमेव जयते

REVISED GUIDELINES FOR PRICE SUPPORT SCHEME (PSS), PRICE DEFICIT PAYMENT SCHEME (PDPS) & MARKET INTERVENTION SCHEME (MIS) UNDER PM-AASHA

GOVERNMENT OF INDIA
MINISTRY OF AGRICULTURE & FARMERS WELFARE
DEPARTMENT OF AGRICULUTRE & FARMERS WELFARE
KRISHI BHAWAN, NEW DELHI

OCTOBER 2024

GUIDELINES
FOR PROCUREMENT OF PULSES, OILSEEDS & COPRA AT MSP UNDER PSS

CONTENT

CHAPTER – I

INTRODUCTION

Assurance of a remunerative and stable price environment for growers/farmers is very important for increasing agricultural production and productivity. The market price for agricultural produce many times tends to be unstable and volatile which may result in undue losses to the growers and discourage adoption of the modern technology and required inputs.

The Government's price policy for agricultural commodities seeks to ensure remunerative prices to the growers for their produce with a view to encourage higher investment and production and to safeguard the interest of consumers by making available supplies at reasonable prices with low cost of intermediation. The price policy also seeks to evolve a balanced and integrated price structure in the perspective of the overall needs of the economy.

Towards this end, the Government announces Minimum Support Prices (MSP) for 25 major agricultural commodities each year in Kharif and Rabi Crop seasons after taking into account the recommendations of the Commission for Agricultural Costs and Prices (CACP). CACP recommends MSP for twenty two (22) crops and Fair & Remunerative Price (FRP) for sugarcane. Apart from Sugarcane for which FRP is declared by the Department of Food &Public Distribution, twenty two crops covered under MSP are Paddy, Jowar, Bajra, Maize, Ragi, Arhar, Moong, Urad, Groundnut-in-shell, Soyabean, Sunflower, Seasamum, Nigerseed, Cotton, Wheat, Barley, Gram, Masur (lentil), Rapeseed/Mustard seed, Safflower, Jute and Copra. In addition to this, MSP for Toria and De-Husked coconut is fixed by the Department on the basis of MSP's of Rapeseed/Mustard seed and Copra respectively.

The Government organize procurement operations of MSP notified agricultural commodities through various public agencies such as Food Corporation of India (FCI), Cotton Corporation of India (CCI), Jute Corporation of India (JCI) and Cooperatives such as National Agricultural Cooperative Marketing Federation(NAFED) and National Consumer Cooperative Federation(NCCF). Besides, State Governments also appoint state agencies to undertake PSS operations.

The Government of India has converged the Price Support Scheme (PSS) of Department of Agriculture & Farmers Welfare (DA&FW) and Price Stabilization Fund (PSF) Scheme of Department of Consumer Affaris (DoCA) under PM AASHA wherein, all the MSP operations including buffer requirement of pulses will be undertaken under PSS by DA&FW and all the procurement at prices above MSP will be undertaken under PSF scheme by DoCA.

The components under Pradhan Mantri –Annadata Aay Sanrakshan Abhiyan (PM-AASHA) will be as under:

i. PSS -All procurement of notified Pulses , Oilseeds and Copra at MSP including buffer requirement of pulses will be undertaken by DA&FW
ii. PSF-All procurement of notified pulses at prices above MSP will be undertaken by DoCA
iii. Price Deficit Payment Scheme (PDPS) for notified oilseeds by DA&FW
iv. Market Intervention Scheme (MIS) for non-perishable crops by DA&FW.

The state will have an option to choose either PSS or PDPS for notified oilseeds in a given Marketing Season for the particular oilseeds for the entire state.

REASONS FOR AMENDING THE PSS GUIDELINES

The PSS Guidelines were first compiled in May 2014. In October, 2018, amended guidelines for Price Support Scheme (PSS) under PM-AASHA was issued based on the requests and suggestion received from various stakeholders. However, requests for suitable revision/amendment in the PSS guidelines were being received time to time from State Governments. Further, the Government has conversed the PSS & PSF scheme into PM- AASHA to be implemented by DA&FW & DoCA . Accordingly, the suggestions were examined and suitable revisions have been made in the existing PSS guidelines. The new revised guidelines of PSS component of PM-AASHA will be effective from Kharif Marketing Season 2024-25. This revised guideline will supersede all previous guidelines issued for implementation of PSS & PDPS under PM-AASHA & MIS.

CHAPTER-II

ROLE AND RESPONSIBILITY OF GOVERNMENT OF INDIA, STATE GOVERNMENTS AND THEIR AGENCIES IN PSS OPERATIONS

(A) Department of Agriculture & Farmers' Welfare (DA&FW):

(i) ***Policy matters***: The DA&FW shall be responsible for any policy matters relating to PSS operations for procurement of oilseeds, pulses and copra at Minimum Support Price (MSP).

(ii) ***Nomination /removal of central nodal agencies***: The DA&FW shall be responsible for nomination of central nodal agencies and/ or removal of any agency/ies from the list of central nodal agency/agencies. At present, NAFED & NCCF are the Central Nodal Agencies for PSS Operations. .

(iii) ***Declaration of Minimum Support Price (MSP):*** The Department of Agriculture & Farmers' Welfare (DA&FW) shall declare the Minimum Support Price for notified agricultural commodities every year, well before both Kharif & Rabi cropping/sowing season so that the farmers may take a considered view whether any particular crop will be a profitable venture for them or not.

(iv) ***MSP information***: In every crop season, DA&FW shall inform the MSP of notified crops to the central nodal agencies well in advance.

(v) ***Duration of the Scheme***: Based on the request of respective State/UT governments, the DA&FW shall decide the duration of PSS procurement operations, crop wise, state wise, and depending upon the seasonality/climatic/geographical/locational advantages and disadvantages. The duration of PSS procurement operations for particular pulses and oilseeds in the marketing season shall be for a maximum period of 90 days. For copra this period will be 6 months. However, in exceptional cases, the procurement period may be increased with prior approval of DA&FW. The decision of DA & FW will be final and binding. However, in case of procurement of pulses at MSP for meeting the buffer requirement of pulses on DoCA request, the duration of 90 days period shall not be applicable.

(vi) ***Fair Average Quality (FAQ) norms***: Fair Average Quality (FAQ) norms shall be decided/ approved by the DA&FW for each crop. While, deciding the FAQ norms, it shall be ensured that only those parameters which are variable would form the specification of FAQ norms.

(vii) **Working capital arrangement**: The DA&FW shall provide the working capital to its Central Nodal Agencies through Government guarantee in nature of revolving fund and the same shall be available to the central agencies once the stock is hypothecated in their name. Such a fund should be utilized for PSS related admissible expenses only. The amount received from disposal of PSS stock needs to be credited directly into concerned Cash Credit account of PSS linked to Government Guarantee. DA&FW shall make sufficient provision for payment of interest to the banks on monthly basis & reimbursement of the losses.

(viii) ***Fund Management***: The funds will be drawn by Central Nodal agencies only against Warehouse Receipts (WHR) for payment of MSP value of procured stock. Further CNA will withdraw incidental expenses & service charges on the basis of economic cost approved by DA&FW. CNA shall submit monthly operation-wise cash credit balance along with operation-wise monthly stock for monitoring of funds/stock positions. For undertaking each PSS operation, a separate cash credit accounts will be opened by the Central Nodal Agencies. The funds will be released by the lender banks from such accounts on the basis of stock hypothecated by the central nodal agency in their name on receipt of clear WHR. DA&FW in consultation with Costing Cell, DA&FW may issue details modalities for operation of such cash credit accounts against Government Guarantee. DA&FW will pursue the matter with RBI/ Banking Division, Ministry of Finance to allow the funding for PSS operation under priority sector for concessional interest rates. Further, Central Nodal Agency may also negotiate the rate of interest with the banks from time to time so as to ensure most competitive rates of interest.

(ix) **Concurrent Audit** : The concurrent audit of PSS operations may be undertaken by DA&FW. The audit fees for Concurrent Audit of PSS operation can be booked in PSS accounts by NAFED which will be reimbursed after vetting of the audited claims.

(x) **Vetting of accounts and settlement of claims of central agencies:** CNA shall submit the final audited accounts of PSS operation along with supporting documents within three months from the date of final disposal of procured commodities for vetting the claims of loss by Costing Cell, DA&FW. If the final audited accounts are not submitted by CNAs within three months from the date of final disposal of PSS stock, CNA shall bear interest cost of 10% on loss claimed.

(xi) **Reimbursement of loss**: The DA&FW shall be responsible for reimbursement of the losses to its central nodal agencies, if any, up to 90% of the estimated loss as on account payment on submission of final audited Profit and Loss account. The remaining 10% loss will be reimbursed to the central nodal agencies after vetting of the accounts by Costing Cell, DA&FW.

(xii) Economic cost sheet defining the operation-wise incidental expenses for every season will be submitted by Central Nodal Agencies along with supporting documents before commencement of procurement of crops to DA&FW for approval.

(xiii) The CNAs shall utilized the input credit on GST in the most prudential manner so as to have minimum loss to the exchequer. The reimbursement towards unutilized GST shall be reimbursed only after the CNAs have exhausted all the options for its utilization in future PSS operations.

(xiv) Commodity-wise normal handling loss (including storage loss) in PSS operations will be as per the scientific study in this regard and will be finalized by the DA&FW. In the meantime, CWC norms as followed now for storage loss will remain applicable.

(xv) The required budget provision for day-to-day operations, monitoring, concurrent audit, administrative works, monitoring and evaluation studies etc. will be made by DA&FW.

(xvi) The Price Support Committee under the Chairmanship of Additional Secretary, DA&FW will monitor day-today operations of PM-AASHA & take necessary decisions.

(B) State/UT Governments

(i) ***Notification of agricultural crops*:** State/UT Governments shall be required to notify the expected production, sowing area, average yield, peak arrival/harvesting period for all those crops for which MSP is declared and the State Government is willing to implement the Price Support Scheme. The PSS operations shall be taken up in the respective State/UT Governments only after such notification is issued and copies of the same are sent to the DA&FW along with proposal at least 30 days prior to its implementation. All the states/UT Govt. willing to implement the PSS operations shall have to furnish the authenticated details to the DA&FW, **as per the format annexed herewith** (A to C).

(ii) **Exemption from mandi tax/levy etc.**: State/UT Govt. shall exempt all state duties in respect of PSS operations (Procurement/transportation/warehousing/Sale etc.) in the interest of its farmers and to reduce the procurement costs. Further, these taxes, if charged by the State/UT Government, shall not be admissible / reimbursable to the State/UT Government and State/Procuring agency.

(iii) **Documents required**: The State/UT Governments shall also notify the relevant land revenue documents which are required to be produced before the procuring agencies to prove the genuineness of the farmers.

(iv) **PSS awareness/ publicity**: The State/UT Governments shall make adequate publicity of PSS operations like MSP for the crops, name and address of procurement centers, procurement period, documents required, contact details of authorized person of central/state/primary procuring agencies. The costs of publicity related activities shall be borne by respective State/UT Government.

(v) ***Demarcation of area of operation between the central agencies***: The State/UT Governments shall decide the area of the operation of various central nodal agencies & also allocate them the share of quantity procurement within the overall sanctioned limit of the crop in the state by GoI for procurement of agricultural commodities in the State/UT, in consultation with the central government (DA&FW) so as to provide a level playing opportunity to all the procuring agencies and to ensure that the PSS operations are carried out even in the remote areas. Further, while deciding the area of operation , the State/UT Government shall ensure that there shall not be any duplication of work and/or overlap of PSS operations by more than one central agency in the same area. In case of any disagreements/disputes relating to area of operation between the Central nodal agencies, the matter will be decided by DA&FW.

(vi) ***Logistics arrangements:*** The State/UT Government shall make all necessary arrangements like booking of CWC/SWC godowns/scientific storage facility created under world's largest grain storage plan in cooperative sector, identification of procurement centers, arrangement of gunny bags, GPRS enabled transportation facilities, weighing machines, moisture/foreign matters/oil content testing machines etc. in consultation with central/state agencies. The cost of transportation upto 50 km from procurement center to the warehouse/storage place will be borne by Central government.For transportation of procured stock beyond 50 kms, the cost has to be borne by States/UTs Government. However, in exceptional cases, by a Committee headed by Chief Secretary of respective State may examine on case to case basis and relax the limit beyond 50 kms for only those destinations wherein, there is no warehouse capacity available either with the CWC/SWC or with other agencies. Such recommendation of the Committee may be obtained by Central Nodal Agencies before making payment for transportation beyond 50 kms. The logistic costs shall be reimbursed by DA&FW as per the norms/expenditure approved under PSS Scheme. Further, these preparatory costs shall be reimbursed to the concerned agencies only when the PSS procurement has been implemented for the specific crop during the specific period.

(vii) **Working capital arrangements for state agencies and revolving fund**: The State/UT Governments shall ensure adequate liquidity to the State procuring agency so as to pay the dues of farmers for their produce within 3 days from the receipt of their produce. The cost of such investment of State/UT government shall be duly reimbursed by the DA&FW upto 10 days at the market rate of the interest or actual cost, whichever is less. At the time of vetting of claims, CNAs shall submit date-wise procurement and its date-wise payment made to farmers. The State Government shall create revolving fund atleast equivalent to 15% of MSP value and incidental expenses for each commodity as per 25% of estimated production/sanctioned quantity by DA&FW. In case state/UT government intends to procure over 25% of All India production of particular crops , the state government will do so at their own cost and through its own agencies.

(viii) ***Establishment of godowns, processing mills in the procuring areas***: The State/UT Government shall encourage/launch massive programmes for establishment of godowns including scientific storage facility under world's largest grain storage plan in cooperative sector, processing mills through public private partnership mode etc. in the rural areas in a time bound manner, so that the farmers may be able to avail adequate storage, value addition facilities for their produce, at their farm gate. State government needs to provide adequate storage space (in proximity to procurement centers) to the Central Nodal Agency/ies.

(ix) ***Utilization of PSS stocks in various Government schemes***: The State/UT government shall take steps to utilize the PSS stocks in their various welfare schemes/programmes like ICDP, Mid-day Meal, Antyodaya, Annapurna, PDS etc. at the "Issue Price" as decided by the DA&FW. The "Issue Price" will be the weighted average of wholesale price in selected mandi/s in the sourcing state or Dynamic Reserve Price, whichever is more. Dynamic reserve price is defined as "weighted average of the last seven days modal price of the specific pulses in the mandies situated within 100 km of the godown where the stock being auctioned/issued is kept.

(x) ***State /District level Monitoring Mechanism:*** A State Level Monitoring Committee (SLMC) under the chairmanship of Chief Secretary with the representative from the related/concerned departments like Agriculture, Food and Civil Supply, Finance etc and state implementing agency will be constituted to monitor and evaluate the implementation at state level. Similarly, a District Level Monitoring Committee (DLMC) shall be constituted under the chairmanship of Deputy Commissioner of each District with representatives from the related departments and procuring agencies. The State and District level monitoring committee shall review the progress of the scheme in their State/ District and its effective implementation from time to time.

(C) <u>Central Nodal Agencies</u>

(i) ***Procurement and Disposal Plan:*** Before the start of Kharif, Rabi & Summer Marketing season, Central Nodal Agencies will submit procurement and disposal plan, arrangement of funds required and their preparedness for carrying out the PSS operations to DA&FW.

(ii) ***Appointment of State/primary agencies and signing of MOU:*** After the announcement of MSP, central nodal agencies shall appoint their state/primary agencies in consultation with respective State/UT Governments by entering into an MOU within 15 days with clear provisions of procurement modalities and corrective measures for disputes if any.

(iii) ***Identification of procurement centers:*** Central agency shall identify the purchase centers in consultation with State/UT Govt., state agency & primary procuring agencies. However purchase centers shall be opened preferably at CWC/SWC godowns/scientific storage facility created under world's largest grain storage plan in cooperative sector and close to the processing mill to minimize the transportation cost.

(iv) **Fair Average Quality (FAQ) norms**: It will be the responsibility of Central Nodal Agencies to ensure that the stock that is procured conforms to FAQ norms. Central Nodal Agency may at their own cost engage reputed third party agency to ensure procurement at FAQ norms.

(v) ***PSS awareness/publicity:*** The central nodal agencies shall also make adequate publicity of PSS operations like MSP for the crops, name and address of procurement centers, procurement period, documents required, contact details of authorized person of central/state/primary procuring agencies in conjunction with State Agencies.

(vi) ***Technical support:*** Central agencies shall provide all technical support to its State and primary agencies relating to the procurement operation. In case of any further clarifications, the matter may be referred to DA&FW and its decision shall be binding on all concerned.

(vii) ***Financial support:*** Central agencies shall release 100% of MSP value and 50% of incidental expenses to the state agencies within 3 days from receiving the stock and hypothecation of it in their name. Central Nodal Agency/ies should ensure that the stock stored in warehouse conforms to FAQ. If at any stage, it is found that there is any deviation from FAQ norms of stock hypothecated in their name, loss shall be borne by the concerned Central Nodal Agency/ies.

(viii) ***Disposal of procured stock:*** Central agencies shall be fully responsible to dispose off the PSS stock within the stipulated time and mode of disposal as provided in Chapter III point no. (xiii) and as directed by the DA&FW from time to time.

(ix) ***Reimbursement of losses, if any:*** The central nodal agencies shall submit the final audited accounts of PSS operations to DA&FW within three months from the disposal of PSS stocks for final settlement of claims in the proforma **(annexed with this guidelines).**

(D) <u>State/Primary Agencies/FPO's/Panchayati Raj Institutions</u>

(i) ***Appointment of primary agencies and signing of MOU***: Immediately after the announcement of MSP, state agency shall appoint their primary agencies by entering into MOU with clear provisions of procurement modalities and corrective measures for disputes if any. In addition to Primary Cooperative Societies, state agency may also involve FPOs in procurement operations.

(ii) ***PSS awareness/ publicity***: The state/primary agency shall also make adequate publicity of PSS operations like MSP for the crops name and addresses of procurement centers, procurement period, documents required, contact details of authorized person of central/state/primary procuring agencies. The cost of such awareness/publicity shall be borne by State Government/State Procurement Agency.

(iii) ***Working capital arrangement***: The state/primary agency shall also make adequate working capital arrangement through State/UT Govt., invest its own fund or borrow the funds from market etc. for a maximum period of 10 days. The state/primary agency whomsoever has invested the fund and/or borrowed the funds from market shall be eligible for reimbursement at the market rate of interest up to 10 days.

(iv) ***Payment to the farmers***: The state/primary agency shall be responsible to make the payments to the farmers within three days from the receipt of their produce.

(v) ***Custody/hypothecation of stocks***: The central nodal agency/ies/ state agency shall be responsible to take the custody of the stocks and get it hypothecated in the name of central nodal agency/ies within the prescribed period so as to get the funds fro***m central agency.***

(vi) ***Verification of documents/quality of stock***: The central nodal agency/ies/state/primary agency shall be responsible to verify the documents of the farmers which prove their genuineness. Further, they shall also be responsible to purchase the stock from farmers strictly as per the FAQ norms as notified by Central Government from time to time. If during storage and during disposal, it is found that there is any deviation from FAQ norms, loss shall be borne by the concerned Central Nodal Agency/ies.

CHAPTER III

A. PROCUREMENT, STORAGE & DISPOSAL OPERATIONS

(i) **Preconditions for implementation of the Scheme:**

a. To get the benefit of the scheme, farmers must be registered within the stipulated time period. A portal is to be specifically developed for this purpose by the respective State /UT Government. The registration data of the farmers on the portal should be integrated with the registration data of other government procurement scheme for MSP crops including procurement done by FCI or its agencies.The registration data will include farmers' details like name of crops sown/harvested, Aadhaar Number, Bank Account Number, Mobile Number and other related land record information maintained in the respective States/UTs. The registration data shall be verified by the States/UTs prior to procurement / period notified for the particular commodity by Revenue Authority. Registration, however, is not an assurance for procurement.

b. State to adopt model The Agricultural Produce and Livestock Marketing (Promotion and Facilitation) *Act, 2017* or commit to do so within specified period.

(ii) ***Mode of purchase***: Following modalities will be followed for procurement under PSS:

a. The stocks shall be purchased by Cooperative Societies, Farmers' Producer's Organizations (FPO), Farmers' Producer's Companies, Panchayati Raj Institutions directly from registered farmers.

b. State government will notify the procurement centers, send the information of same to Central Nodal Agencies, upload a list of these centers on government websites and publish in local newspapers for information of farmers.

c. The reporting of purchases shall be made through online mechanism and the central/state procuring agencies shall display the details of purchases on a daily basis on their website.

(iii) ***Limit of purchase in one single day***: Only 40 quintal of produce shall be purchased from one farmer in one day.

(iv) ***Genuineness of the farmer and his landholding***: Before undertaking purchases of any commodity under PSS, the central nodal agencies will contact the concerned state authorities for deciding the documents to ensure the genuineness of the farmer and his landholding. At the time of procurement, the procuring agency to ensure appropriate measures to establish the identity of farmer selling the crop like Aadhar authentication and photograph of farmer etc. in addition to capturing their land records, original registration receipt to establish the identity of farmer selling the crop. There should not be any overwriting or cutting or erasing etc. in any documents showing the genuineness of the farmer and his landholding in the form of girdawari or any other document of the state government. Copies of these documents are to be retained by procuring agencies.

(v) ***Arrival of stocks***: The farmer may be advised to bring their stocks to the nearest procurement centre from his farm. The land records must indicate that the commodity, which is being offered under PSS, has been harvested from his own/leased land.

(vi) ***Average yield district wise***: While undertaking purchases of any commodity under PSS, Central nodal agencies may get the estimates of average yield and production in that area covered by the procurement centers from concerned State/UT government authorities to ensure that in a district quantity of procurement do not exceed 25% of production of that commodity in the district and the procurement of produce is done from the farmers only. In case the variation in any district beyond +/-20%, specific reasons may also be recorded for higher procurement.

(vii) ***Area of operation***: Purchase will be made from only those registered farmers who come into the area of operation of that particular purchase center/APMC.

(viii) ***Quantity for procurement***: The overall quantity of procurement by central government will be restricted to 25% of All India Production of the commodity for that particular season/year. Initially the sanction for procurement under PSS will allowed at 25% of the state production . However, additional quantity under the window of 25% of All India Production of the commodity will be allowed only after the procurement of 25% of state production of the commodity by Central Nodal Agencies is exhausted in a given state. The modalities for procurement of additional quantity of commodity on 25% of All India Production will be examined & decided by the Committee of Secretaries (CoS). Moreover, the procurement of pulses at MSP for maintenance of buffer stock on DoCA request will be undertaken till the buffer requirement for a given commodity is met. In case state/UT government intends to procure over 25% of All India Production of that particular commodity, the state government may do so at their own cost and through its own agencies.

(ix) ***Display of information***: The procurement centers shall prominently display the MSP, bonus, operating hours & days, period of procurement, mode & time of payment to farmers. The updated information of the procured stock and list of beneficiary farmers who have availed the scheme as well as those in waiting list (if any) shall be displayed at the procurement center/website of procuring agencies.

(x) ***Payment to Farmers***: The payments to the farmers shall be released to their individual bank accounts though RTGS or NEFT within three days from actual delivery to the procuring agency. For making timely payment to farmers, state government needs to arrange sufficient revolving funds at the disposal of procuring agencies. Further, the procuring agencies shall ensure that the payments have been made directly into the bank account of the farmer provided at the time of registration. The bank account of one individual farmer shall not be used for making payments of other farmers. The state agency will be required to provide daily information of the payment made to farmers as per above stipulation.

(xi) ***Storage of procured Stock***: Before the start of procurement, State Government will make available list of Scientific Warehouses to Central Nodal Agencies. The Central Nodal Agencies will ensure that storage of procured stock in CWC/SWC Godowns & scientific storage facility created under world's largest grain storage plan in cooperative sector. In case of non-availability of CWC/SWC godowns/space scientific storage facility created under world's largest grain storage plan in cooperative sector, the stock may be stored in other godowns preferably WDRA accredited one as approved by the State Government and Central Nodal Agency. However, such permission may be given only after ensuring that the stock is stored safely and scientifically so that it does not suffer any preventable loss.

(xii) ***Limitation on holding the stock***: The procured material will be stored only for its biological life and it should be disposed off preferably within nine months from the closure of PSS operation to avoid increasing holding cost and quality deterioration. Biological life referred to as Future Expiry Date (FED) in the parlance of commodity exchange, is the life of the commodity after which it must be re-assessed/ consumed in order to remain fit for human consumption. Further, while holding the stock, the seasonality/durability of that particular crop will also be kept in mind. However, in exceptional circumstances, requiring stocking over nine months, prior approval of the DA & FW should be obtained. It will be the responsibility of the Central Nodal Agency to ensure that the goods are properly stored. Any loss occurring on account of poor storage in the warehouse will be the responsibility of Central Nodal Agency and will be borne by it. The Central Nodal Agency must submit a storage ageing report on monthly basis to DA&W clearly mentioning the ageing and quality of all the stored material.

(xiii) ***Disposal of Stock***:

a) **Open Market Disposal**: - After end of procurement operation, central nodal agency/ies will prepare disposal plan to ensure disposal of procured stock with the stipulated period. Accordingly, Central Nodal Agency/ies may fix the monthly target for disposal of the procured stock . The stocks shall be disposed off through competitive bidding like e-auctions, open auction, using online platforms as approved by DA&FW of commodity exchanges/ online spot market platforms, future trading etc. Further, the traditional disposal mechanism should be done only in exceptional case with the approval of DA&FW for better realization and greater transparency. In other words, the disposal shall be carried out in most transparent and competitive manner well within the biological life of the procured stock and in the off season when the prices of the produced are usually high, to secure highest price and minimum loss and maximum profit to the Government. The procured stock may be disposed within the State or outside. The central/state agencies shall maintain a verifiable data of prices throughout the year to justify its decision to sell their procured stock in a certain month/season. The Central Nodal Agency will dispose the stock on FIFO (First in first out basis). Central Nodal Agency has to start disposal of procured stock after the close of procurement operation. Any stock which is not disposed off within 9 months after the closing of procurement, the carry over cost of such stock (interest on MSP value and incidental, warehouse rent etc.) will be borne by concerned Central Nodal Agencies. The stock position, centre, quantity, quality, value, variety etc. and disposal statement, ruling price shall be kept updated, and placed on line on the website of the Central Nodal agencies as well as sent to the DA& FW through sms, e-mail, fax, etc. on daily basis.

b) **Issue of PSS stock to the State/UTs to utilized in various welfare schemes:**

- The PSS stock can be issued to intending states/UTs at Issue Price as mentioned at Chapter II Para B(ix). The State/UT government shall place their indent to the Central Nodal Agencies for release of PSS stocks to be utilize in their various welfare schemes/programmes like ICDP, Mid-day Meal, Antyodaya, Annapurna, PDS etc. at the "Issue Price" as decided by the DA&FW.

c) **Transfer of stock from PSS to PSF:-** The procured stock of pulses at MSP under PSS will be transferred to National Buffer Stock maintained under Price Stabilization Fund(PSF) scheme of DoCA. Such transfer may be done on the cost basis which includes all the expenses related to procurement and holding of such stock. In such case, the Central Nodal Agency/ies will work out the provisional cost of the stocks proposed to be transferred and after due approval of DA&FW will book transfer the stock from PSS to PSF on receipt of such cost in advance. The final costing may be done with the concurrence of Costing Cell, DA&FW. The service charges and other common incidental expenses of procurement of PSS should not be charged again for such transfer of stock.

(xiv) ***Short recovery:*** Central/State agencies should recover the value for any short recovery as per terms of the agreement entered into with the millers. Further, the common storage norms like Moisture Adjusted Weight (MAW) for the procured stock must be accounted for by the procurement agency.

(xv) ***Procurement and disposal report*** : All agencies shall be responsible to furnish the daily progress reports of procurement & disposal (quantity and value wise) to their immediate hierarchy through SMS, email, fax etc. Central Nodal Agency will furnish a daily report to DA&FW regarding daily procurement, disposal, quality of procured stock and status of disposal.

(xvi) ***Maintenance of Documents/Accounts:*** The procuring agencies and Central Nodal Agencies shall be responsible to maintain all relevant records like samples drawn, checking of FAQ parameters including the moisture content, quantity and value of produce procured daily with name and address of farmers, payment made to farmers, produce rejected, expenditure incurred, ruling market price of the commodity etc.

(xvii) ***Visits & Inspections***: All agencies shall be responsible to closely monitor the PSS operations and ensure the strict compliance of the provisions and conditions of the scheme and its guidelines. The officers of Central Nodal Agency should visit to procurement centers, Storage Centers during storage (to ensure scientific storage) and at the time of disposal.

B. <u>Financial Resources and Accounts</u> :

(i) ***Fund utilized against Government Guarantee***: Central Nodal Agencies shall maintain proper record for utilization of fund drawn from the accounts backed by Government Guarantee. The Central Nodal Agencies shall be able to withdraw money from such accounts for payment of MSP value corresponding to WHRs (Warehouse Receipts) received against the procured stocks and incidentals expenses as approved by DA&FW. Central Nodal Agency will make payment to State procuring agencies only for WHRs received within 30 days from the end of procurement period. In exceptional situations, the Committee chaired by the concerned states' Principal Secretary / Additional Chief Secretary Agriculture may examine the reasons for delay ,if any, on a case to case basis and extend such period for a maximum period of 30 days over and above the allowed period. To avoid time lag in processing of WHRs, efforts should be made to develop an integrated portal with facility of online WHR by CNA/ State/UTs . The loss, if any , under the PSS will be reimbursed as per the prescribed norms in the guideline by the Central Government. On vetting of accounts by the , Costing Cell, DA&FW ,the expenses disallowed should be deposited in the concern cash credit accounts within 15 days by the central nodal agency.

(ii) ***Service charges***: The Service charges to the concerned central nodal agencies will be payable @1 % on the MSP value of procured stock and 0.50% on the MSP value on disposal of procured stock.The CNA may withdraw 1% service charges on MSP value of procured goods on completion of procurement and 0.5% after the submission of claims after final disposal of procured stock. The service charges by the central procuring agency may be drawn with prior approval of DA&FW. Additionally, a maximum of 2% service charge will be paid to procuring agencies at the state/procurement level. Procurement by the State level Marketing Federation shall be made through the Primary Cooperative Societies in which service charges @ 1%(out of total 2%) shall be paid to Primary Societies. However, if there is no Primary Societies functional in a particular area as certified by the State Government, the State Agencies/Federations would be paid 2% service charge provided they open and manage the procurement centers as per the guidelines.

(iii) ***Finalization of Accounts/Sharing of Loss/ Audit***: The final audited accounts must reach DA&FW within three months from disposal of 100% stock. The State agencies will submit their accounts to central agencies within one month from the last date of procurement. The DA&FW will examine the accounts and after accepting the same, it will be sent to Cost Cell, DA&FW for vetting. The computation of loss shall be the total cost of procured stock (MSP paid to the farmers, the statutory taxes i.e. commission payable to the agents, grading, labour and packing charges, loading/unloading charges, interest, bank charges, godown charges, service charges to procurement agencies and any other charges directly related with either procurement or/and disposal of the procured stock) minus realization from sale of stock. Further, If there is any profit in the PSS operations, the same shall be deposited into main account so that it can be used for further PSS operations. All the documents should be available in the public domain and easily accessible to the general public.

(iv) ***Booking commodity wise expenses***: Central nodal agencies should ensure that commodity wise expenses are properly booked under exact PSS operation.

*****

Annexure- A

Proforma for State/UT Government for Implementing Price Support Scheme (PSS) for Pulses, Oilseeds, & Copra

1. Copy of notification of crop calendar year/harvesting period.

2. Details of crop production in the State (region/area wise).

Area	Crop	Sown area	Expected production	Average yield	Peak arrival period	Ruling market price	Expected quantity of procurement	Proposed duration of scheme

3. List of documents required and other arrangements made to prove the genuineness of farmers.

4. Details of working capital arrangement for immediate payment to the farmer for their produce.

5. Details of PSS awareness/publicity of MSP for the crops name and address of procurement centres, contact details of authorized persons of central/state/primary procuring agency.

6. Details of preparatory/logistic arrangements like booking of CWC/Godowns/ scientific storage facility created under world's largest grain storage plan in cooperative sector and its distance from procurement center, arrangement of gunny bags, transportation facility etc.

7. Details of processing facilities available/proposed to be available in and around procurement centres.

8. Any other information relevant to the scheme in support of your proposal mentioned in the guidelines and not indicated above

Annexure- B

UNDERTAKING

This is to certify that the above particulars are true and correct to the best of my information and the State/UT Government is willing to undertake the PSS operation for (name of the crop) in the State as per PSS guidelines of the Government of India. Further, the State/UT Government also agree to –

i. The overall quantity of procurement by central government will be restricted to 25% of the All India Production of the commodity for that particular season/year. Initially the sanction for procurement under PSS will allowed at 25% of the state production. However, additional quantity under the window of 25% of All India Production of the commodity will be allowed only after the procurement of 25% of state production of that commodity by Central Nodal Agencies is exhausted in a given state . The modalities for procurement of additional quantity of commodity on 25% of All India Production will be examined & decided by the Committee of Secretaries (CoS). In case state/UT government intends to procure over 25% of All India Production, the state government will do so at their own cost and through its own agencies.

ii. Exempt all the state duties/taxes in respect of PSS Operation (Procurement /transportation /warehousing /Sale etc.).

iii. Provide the necessary documents which prove the genuineness of the farmers.

iv. Provide working capital to the State/primary procuring agency.

v. State Government shall create revolving fund for at least 15% of MSP value + incidental expenses for each commodity as per 25% of estimated production/sanctioned quantity by DA&FW.

vi. Take up the work of establishment of godowns, processing mills in and around the procuring centres. For transportation of procured stock beyond 50 kms from the procurement center, the cost will be borne by state governments .

vii. Utilise PSS stocks in various Central/State Government Schemes as per existing PSS Guideline.

viii. To get the benefit of the scheme, farmers must be registered within the stipulated time period. A portal to be specifically developed for this purpose by the respective State /UT Government. The registration data(s) of the farmers on the portal should be integrated with the registration data(s) of other government procurement scheme for MSP crops including procurement done by FCI or its agency/ies .The registration data will include farmers' details like name of crops harvested, Aadhaar Number, Bank Account Number, Mobile Number and other related land record information maintained in the respective States/UTs. The registration data will be verified by the States/UTs prior to procurement / period notified for the particular commodity by Revenue Department. Registration, however, is not an assurance for procurement.

ix. State to adopt model The Agricultural Produce and Livestock Marketing (Promotion and Facilitation) *Act, 2017* or commit to do so <u>within (specify time frame).</u>

Principal Secretary Agriculture
State/UT Government

Annexure- C

To,

The Joint Secretary
Investment & Price Support Division,
Department of Agriculture, & Farmers Welfare,
Krishi Bhawan,
New Delhi

Subject: Request for implementation of Price Support Scheme (PSS) for ____________.

Sir,

I am forwarding herewith a detailed proposal for implementation of Price Support Scheme (PSS) for the notified agricultural commodities in............(name of the state). The proposal included following details:-

1. Copy of notification of crop calendar year/harvesting period.

2. Details of crop production in the State (region/area wise).

3. List of documents required to prove the genuineness of farmers.

4. Details of working capital arrangement for immediate payment to the farmer for their produce.

5. Details of PSS awareness/publicity of MSP for the crops name and address of procurement centers, contact details of authorized persons of central/state/primary procuring agency.

6. Details of preparatory/logistic arrangements like booking of CWC/Godowns/ scientific storage facility created under world's largest grain storage plan in cooperative sector, arrangement of gunny bags, transportation facility etc.

7. Details of processing facilities available/proposed to be available in and around procurement centers.

8. Any other information relevant to the scheme in support of your proposal mentioned in the guidelines and not indicated above.

You are, therefore, requested to kindly implement the PSS Scheme for procurement of .... (Name of the commodities) for the current crop season.

Yours faithfully,

Encd: As above.

( )

Principal Secretary, Govt. of..........

ANNEXURE - D

Name of PSS Crop: ________________Year: __________ Season: Rabi/ Kharif

1. Basic information on procurement:
   a. A brief write-up on Crop / Operation:
   b. Nature of procured item (perishable/Non-perishable),
   c. Specification of FAQ of above crop (notified copy).

2. Please furnish copies of the circulars/guidelines issued by Ministry of Agriculture / State Government, namely:
   a. Copy of DA&FW order designating Central nodal agency for procurement under PSS for above mentioned operation and announcement of MSP
   b. Period of the commencement of the above scheme (procurement period) with notification from respective State Governments.
   c. Bonus/incentive (if any) announced by DA&FW.
   d. Targeted Quantity to be procured

Sl. No.	Name of the State	Targeted Qty. to be procured
Total for All India Basis		

3. Total Actual Quantity procured of crop:

Qty procured under PSS	Qty procured under Non PSS, if any	Total qty procured.

4. Branch wise actual quantity procured at MSP for PSS operation:

Sl. no.	Name of branch	State	Qty procured (MTs)	Date of commencement of procurement at branch	Date of closure of procurement

5. GST

Name of branch	GST paid at the time of procurement, if any	GST set off at the time of disposal of stock/IOT	Amount of GST unrecovered/ unadjusted	Whether unadjusted / unrecovered amount has been utilised towards any other PSS/Non PSS operation

6. Procurement Agency Commission payable to State Level Agency & Primary level Agency.

Name of Branch	Total Qty. procured (Qtl.)	Total Commission Paid to SLA/PLA (Rs.)	Qty procured through PLA	%age of commission payable to PLA	Total Commission paid to PLA (Rs)

7. Branch wise Packing & Incidental Expenses

Nature of Expenses	Final Approved rates(after HO approval) (Rs per qtl.)	Actual rates paid (Rs per qtl.)
Jute bags		
Marking/colouring/stenciling		
Sutli		
Labour charges of Loading at procurement centre		
Labour charges of unloading and stacking atGodown		
Weighment		
Any other incidental expenses		

8. Details of Branch-wise Carriage Inward & Cartage -

Name of Branch	Name of procurement centre	Name of CWC/SWC godown	Total distance between PC and Godown (in Kms)	Approved Rate per qtl	Actual rate per qtl paid to transporter	Total Amount paid (Rs.)

9. Details of total cost of Storage -

Name of Branch	Godown Rent	Godown Insurance	Fumigation Expenses	Other (if any - with details)

10. Godown wise break up of storage cost:

Month	Opening stock	Addition of stock during month	Disposal of stock during month	Approved Rate per bag/qtl of Godown	Total Amount paid (Rs.)	Remarks – Type of Godown - CWC/SWC/Pvt.

11. Details of Misc Expenditure incurred by NAFED:

Head of Expenditure	Amount of expenditure (Rs.)	Remarks
Publicity Expenses		Specify nature of charges
Taxes/Levy, if any		Applicable tax rate
Final Audit Fees		Break-up to be provided for Branch & H.O
Others (if any)		Nature of such expenses may be specified.

12. Branch wise sales details:

Name of Branch	Total Qty sold	Amount of sales Realisation	Date of commencement of sales	Last date of disposal

13 In case goods have been sold by branch other than branch from where procurement was made. Please furnish following details

Head of Expenditure	Total Amount (Rs.)	Remarks
Price at which goods have been transferred to this branch (rate per MTs)		
Inter Office Transportation Expenses		
I O T Insurance Expenses		
Handling & packing Charges		
Other (if any - with details)		
Total Procurement cost		
Total sales realization		

14 Details of Cost of Disposal –

Head of Expenditure	Total Amount (Rs.)	Remarks
Brokerage/Commission		
State level taxes (if any)		
Others, if any		

15 Details of financial expenses –

Head of Expenditure	Total Amount (Rs.)	Remarks
Dedicated Bank Interest		Specify period for which interest claimed.
Bank Charges		
SLA interest		
Any other resource		

16 Branch wise statement of stock shortage / excess with reasons thereof under PSS operation & shortage / excess in comparison to standard norms.

Total quantity procured (Qtl.)	**Total quantity sold (Qtl.)**	**Shortage / Excess (Qtl.)**	**Whether shortage is within prescribed norms (yes/no)**	**Value of excess shortage than prescribed (Rs.)**

17 Please specify the amount of claim received from insurance Company/transporter or any other agency with respect to damaged / lost quantity.

18 Please furnish the details of misc income generated from PSS operation.

Name of Branch	Nature of income	Amount received	Remarks
			Extra storage period, Delay upliftment of stocks, Delayed payment towards sales etc

19 Details of Reimbursement of Interest and Losses:-

Month	**Interest Amount (Rs.)**	**Losses reimbursed (Rs.)**	**Total (Rs.)**

20 In case of allocation of expenses among different PSS operations, kindly specify the information in the given below format:

Nature of expenses	Name of operations for which expense was undertaken	Total amount of expenses incurred	Basis of allocation of expenses	Share of expenses allocated to this PSS operation

21 Please furnish following documents:-

A) Copy of Agreement with SLA.

B) Approval of incidental expenses by HO.

C) Approval of rate of gunny bags.

D) Approved transportation charges per Km per qtl. for each procurement centre

E) Copies of Branch-wise Final Audited Profit & loss account & also Audited Final Consolidated Profit & loss account of the specific crop under PSS operation.

F) Agreement with procurement Agencies for procurement of gunny bags & comparative statement of finalizing L-1.

G) Please furnish Bank Statement Details - Date-wise transaction of funds , outstanding amount from time to time, bank interest payable, bank charges paid , rate of interest applicable and stock hypothecated to bank for funds.

H) Please furnish sample copy of following given below items for the month as called for by the office of Costing Cell, DA&FW at the time of vetting of claim: -

(a) Sales bill
(b) Purchase bill
(c) Transportation bill,
(d) loading and unloading expenses.
(e) Incidental Expenses
(f) Insurance.
(g) Godown rent.
(h) Mandi tax/Market fee, if applicable.
(i) Local taxes/State Government taxes, if applicable.
(j) Standardization expenses.
(k) Fumigation expenses.
(l) Expenditure, if any incurred on Publicity (procurement/disposal) of scheme.
(m)Sample bill of any other expenses claimed.

22 Please furnish soft copy of sales register and purchase register maintained by SLA.

23 In case the period of procurement, quantum of procurement, storage and disposal has been extended than the period prescribed in PSS Scheme then please furnish copy of such extension issued by DA& FW.

24 In case Private Godown is hired, then please furnish copy of approval of respective State Government

GUIDELINES
FOR IMPLEMENTATION OF PDPS FOR NOTIFIED OILSEEDS.

Sub: Revised Guidelines for Price Deficit Payment Scheme (PDPS) under scheme of Pradhan Mantri – Annadata Aya Sanrakshan Abhiyan PM AASHA

1. **Title**: This scheme of Govt. of India is under the scheme of Pradhan Mantri -Annadata Aya Sanrakshan Abhiyan (PM-AASHA) and will be called as **Price Deficit Payment Scheme (PDPS)** for notified Oilseeds

2. **Objective**: This scheme aims at ensuring remunerative price to the producer of oilseeds whose MSP are notified by the Government of India and when sold in the harvest season without the actual procurement by the government agencies. The scheme envisages direct payment of the difference between the MSP and the sale price/Modal Wholesale Price to the farmers selling their produce in the notified APMC yard through a transparent auction process. The state Govts/UTs has to send option for implementation of the PDPS for one or more oilseeds for the marketing season for the whole of the state in place of Price Support Scheme (PSS).

3 .**Background**:-

a) The Government's price policy for agricultural commodities seeks to ensure remunerative prices to the growers for their produce with a view to encourage higher investment and production and to safeguard the interest of consumers by making available supplies at reasonable prices with low cost of intermediation. The Government announces Minimum Support Prices (MSP) for 22 major agricultural commodities of Fair Average Quality (FAQ) each year in Kharif and Rabi Crop seasons after taking into account the recommendations of the CACP. In addition to this, MSP for Toria and De-Husked Coconut are fixed by the DA&FW on the basis of MSP's of Rapeseed/Mustard seed and Copra respectively.

b) The PDPS will cover the oilseeds for which MSP is declared by Government of India. These oilseeds include Ground nut in shell, Soyabean, Sunflower, Sesamum, Niger seed, Rapeseed/ Mustard seed, Safflower and Toria.

c) Due to increased level of procurement, requirement of warehouses space and working capital has increased manifold in recent years. Oilseeds particularly ground nuts require excessive warehouse space and majority of the oilseeds turn rancid due to accumulation of enzymes and moisture during long storage period. Oilseeds stock requires specialized storage and good inventory management practices which involves higher carryover cost. Further, there is very limited potential of usage of oilseeds in welfare schemes as oilseeds needs to be processed before consumption. In addition to this, private sector units in oilseeds space particularly big oil mills have already created storage spaces which can be used. Therefore, for oilseeds a new scheme called Price Deficit Payment Scheme (PDPS) under the PM-AASHA has been introduced to do away with the need for physical procurement by government.

4) **<u>Pre Conditions of implementation of PDPS</u>** :-

a) To get the benefit of the scheme, farmers must be registered within the stipulated time period. A portal is to be specifically developed for this purpose by the respective State/ UT Government. The registration data of the farmers on the portal should be integrated with the registration data of other government procurement scheme for MSP crops including procurement done by FCI or its agencies. The registration data will include farmers' details like name of crops sown/harvested, area under crop (irrigated or unirrigated), Aadhaar Number, Bank Account Number, Mobile Number and other related land record information maintained in the respective States/UTs. The registration data shall be verified by the States/UTs prior to procurement/ period notified for the particular commodity by Revenue Department. However, such Registration is not an assurance of deficiency payment

b) Implement or amend their marketing act in line with the provisions of modal □APLM Act□:- The state/UTs to adopt the Model □The Agricultural Produce and Livestock Marketing (Promotion and Facilitation) *Act, 2017□* or commit to do so within specified time frame.

c) **<u>Support of GoI</u>** :- The state/UTs opting for implementation of PDPS will get the support of Central Government upto 40% of state production for that particular Marketing Season/year and the maximum price difference of 15% of Minimum Support Price (MSP). Beyond 40% of production & beyond the price difference of 15% of MSP, If any State/UT desires to continue implementation of PDPS, they can do so at their cost.

D) **<u>Coverage of PDPS</u>**:-

a) The scheme of PDPS is applicable for oilseeds produced in the implementing state for which Govt. of India announces MSP.

b) The implementing state/UT has to choose the one or more notified oilseeds produced in their state for which PDPS is proposed to be implemented for the particular marketing season.

c) The period of registration has to be during the predefined period preferably prior to the arrival in the market.

d) The scheme will be implemented for the specified period not exceeding 120 days (4 months) that coincides with the peak harvesting period of the particular notified oilseeds crops for the particular season notified by the implementing States/UT.

E) **Scheme design**:

a) This is an alternative methodology for oilseeds available to the states/UTs under which the deficit between the sale price and MSP can be made to farmers. The scheme is an alternative to Price Support Scheme and state/UT opting for scheme for particular oilseeds crops for the season has to implement the same scheme for the whole state for that season. The scheme envisages direct payment of the difference between the MSP and the selling price/Modal Wholesale price to the farmers selling her/his produce in the notified APMC yard through a transparent auction process. The payment will be made directly into farmers bank account provided at the time of registration.

1. **Registration of Farmers** :-

1.1. Under this scheme, registration of the farmers to be done free of cost from predefined period on PDPS portal of the state.

1.2. To get benefit of the Scheme, farmer must register on the portal specifically developed for this purpose within the stipulated time at registration centers. Every farmer shall be provided with a unique registration number (URN). He will also be informed of the URN through SMS on his registered mobile.

1.3. The registration data shall be verified by the revenue officials in the field. This verification may be done parallel with the registration process so that verification is complete before the sale period notified finishes.

2. **Open Market Sale by the farmers:**

2.1. This scheme shall benefit only farmers of implementing state for their agriculture produce of oilseeds during the marketing season. The benefit of scheme will be provided only to the eligible registered farmers for the produce of oilseed crop sold in their respective defined APMC mandi only and within the time period declared for the sale under Price Deficit Payment Scheme (PDPS) by the implementing State/UT. The oilseeds crops covered in the scheme will be notified by the State along with its marketing season.

2.2. State government should ensure that the commodity covered under PDPS are tested for Fair Average Quality (FAQ) on arrival in the notified APMC. If commodity are traded in under eNAM, only FAQ quality of stock as per lab test report will be considered for Deficient payment . If the stock are traded in non eNAM APMC, State Government should ensure that commodity conforming to FAQ norms are only covered under PDPS.

2.3. The APMCs shall carryout the sale of the FAQ oilseeds crop produce as per the rules of the APMCs.

2.4. The farmers shall provide the URN generated during registration on PDPS portal during the sale auction in APMC.

2.5. The difference between the actual sale price of produce and MSP/Modal price will be paid to the farmers as price compensation when the commodity is sold in notified markets and have received the payment through RTGS or other methods of e-payment from the traders into their own bank account registered under the PDPS. The entitled compensation will be paid to the farmers within a fortnight with effect from the date of sale/trade of the commodity in the notified APMC market(s) of the implementing state/UT.

2.6. The reference price for estimating price deficiency between the actual sale price received by the farmers & the notified MSP will be the Modal price of notified oilseed of all APMCs in the implementing state which will be taken as weighted average of two weeks preceding the date of sale/auction of the particular lot of crop in all APMC mandies of implementing state. Price Deficiency payment for sale in the first two weeks of the season will be taken as weighted average of the first fortnight of the season. The methodology for calculation of Modal Price is mentioned at para 3.

2.7. Nominated employee/ officer of APMC will mention URN along with Quantity of sale and rate of sale on Agreement Slip, Weight Slip and Payment slip after the completion of the auction. The auction at APMC market should be done along with the other normal auction in the auction space without distinguishing whether its coverage under PDPS or not.

2.8. APMC will upload details of the agriculture produce, its daily arrival and rate on the AGMARKNET Portal of Central Government after closure of the auction process every day.

2.9. The entry of Agreement Slip, FAQ test report, Weight Slip and Payment slip will be uploaded against the URN of the farmers on the PDPS portal. The details would be uploaded only after the Mandi Fee has been deposited by the trader and payment by the licensee trader to the farmer has been made in the registered bank accounts. This should also be informed to the concern registered farmers through SMS.

2.10. The sale carried out using Trade Receipt (where the whole stock is not brought in the APMC yard and the auction happens only on the basis of sample) shall not be valid for the benefits of this scheme.

3. **Calculation of Modal Price** :- The calculation of the modal wholesale price shall be done for the specified oilseeds crops in the following manner:

   3.1. the modal price of notified oilseeds of all APMCs in the implementing state which will be taken as weighted average of two weeks preceding the date of sale/auction of the particular lot of crop in all APMC mandis of the implementing states. Price deficiency payment for sale in first two weeks of the season will be taken as weighted average of the first fortnight of this season.

   3.2. Information related to Daily Arrival and Price shall be available on the web portal of Government of India (http://agmarknet.gov.in)

   3.3. The price deficiency payment would be made for the FAQ quantity traded in the APMC and subject to the maximum limit fixed by the state based on the expected production of sown area under irrigated or unirrigated as verified by the Revenue

Department and average productivity of the district based on CCEs of the crops or the actual quantity sold in the specified period whichever is lower. The specifications meeting the Fair Average Quality (FAQ) of notified oilseeds will be as per the parameters specified by GoI.

4. The price compensation to the farmer against his actual sale price vis-à-vis the estimated modal price for two weeks/MSP shall be determined in the following manner:
   (a) If the sale price of selected agriculture commodity (conforming to FAQ) in the notified market yard(s) is at par or more than Minimum Support Price (MSP), no compensation would be admissible.
   (b) If the sale price of agriculture commodity (conforming to FAQ) sold in the notified market yard(s) is less than MSP, but more than the modal wholesale price declared by the state/UT government, compensation would be admissible only to the extent of difference between MSP and actual sales price received by farmer.
   (c) If the sale price of agriculture commodity (conforming to FAQ) in the notified market yard(s) is less than the modal wholesale price declared by the state/UT government, the compensation would be admissible to the extent of difference between MSP and modal wholesale price declared by State/UT Government.
   (d) The entitled amount shall be transferred to the bank account of the farmer registered on the portal at the time of registration.
   (e) The farmer would be paid the difference between the MSP and the estimated modal price for two weeks /actual sale price subject to a maximum of 15 per cent of the MSP value based on MSP notified for the Year/Season.

5. Steps involved in PDPS :-

(a) Proposal of State/UT Government for implementation of the PDPS for one or more crops in their states in the marketing season with details of state preparedness, period of the scheme, coverage of production and estimated expenditure with details to be submitted to the department.

(b) Registration of farmers on the portal and URN generated during registration informed to the farmers through SMS. Integration of registration data with other procurement scheme of Govt. of India. The famers registered for particular crops needs to be checked with the other registered data for other procurement schemes for other crops based on their sowing area and duplication to be rectified under the information to the farmers. The registration data shall also be verified by the revenue officials in the field during the registration period itself.

(c) Arrival of selected oilseeds in the notified APMC market by farmers. Issue of Gate Pass and verification of grade of crops brought in by the famers. Crops conforming to FAQ will only be covered under the PDPS.

(d) Transparent and competitive trading of the FAQ stock. The implementing State/UTs shall ensure to carry out the trading of the oilseeds in conformity to FAQ norms only under PDPS.

(e) State government to calculate the □MODAL price□ based on the formulae prescribed in the guideline.

(f) Working out of deficit payment needs to be made to each farmers and payment of compensation to the farmers in their registered banks accounts.

(g) Submission of audited claim accounts for reimbursement of cost for implementation of the PDPS for selected oilseeds crops in the state.

(h) On account payment of 80% of Central Govt share of the cost will be paid by Govt. of India to States/UTs on verification of audit claim submitted by the States/UTs by the implementing cell of the department & with the approval of Price Support Committee and balance claim after vetting by the Costing cell of the department.

6. Reimbursement of Expenditure for PDPS Scheme by GOI :-

6.1. Upto 40% of state production of particular oilseeds for that particular season, the liability under this scheme shall be shared by Government of India and the concerned State/UT Governments in the following manner:

S.No.	Percentage of loss of MSP of each commodity for which PDPS is implemented in the season.	Share of Govt. of India in loss compensation	Share of State/UT Govts in loss compensation.
1	Upto 15% (inclusive of administrative cost)	100%	0%
2	Above 15%	0%	100%

For quantities beyond 40% of state production, if any state/UT government desires to provide support, the total responsibility including that of finances shall be of state government/UTs. The production of Oil Seeds in the implementing States/UTs of PDPS will be based on the estimated production released by Economics, Statistics & Evaluation Division, DA&FW, Govt. of India.

7. **Impact Analysis**: The DA&FW may arrange concurrent and third party evaluation of the scheme through an independent agency as per due procedure.

8. **Monitoring Mechanism**: A State Level Monitoring Committee (SLMC) under the Chairmanship of Chief Secretary with the representative from the related/concerned departments like Agriculture, Food and supply, Finance etc and state implementing agency will be constituted to monitor and evaluate the implementation at state level. Similarly, a District Level Monitoring Committee (DLMC) shall be constituted under the chairmanship of Deputy Commissioner/District Collector/District Magistrate of each District with representatives from the related departments and procuring agencies. The State and District level monitoring committee shall review the progress of the scheme in their State/ District and its effective implementation from time to time

Revised guidelines for procurement of perishable agricultural & horticultural commodities under MIS

The salient features of the guidelines are as below:

(a) The proposal from the State Government must reach Department of Agriculture & Farmers' Welfare at least 15 days before the proposed date of implementation.

(b) The Market Intervention Scheme shall be made applicable and sanctioned only in a situation when there is reduction in the market prices by at least 10% over the rates of previous normal season

(c) The State Government must at the outset, indicate its **willingness to share 50% of the total loss,** even if a State Government agency has not procured any quantity or procured only negligible quantity. In case of **North-Eastern States it should indicate its willingness to share 25% of** the total loss.

(d) **The proposal of MIS (in Annexure –I) received from a State Government will be considered by a Committee under the Chairmanship of Joint Secretary, Department of Agriculture & Farmers Welfare)** consisting of the officers of the State Government, the representatives of NAFED & NCCF, State intervening agencies, representative of the Costing Cell, DA&FW, , Directorate of Economics & Statistics, Integrated Finance Division, TMOP Division and Horticulture Division of the Department of Agriculture and Farmers' Welfare.. This Committee will finalize the terms and conditions which shall be submitted to the competent authority in the Department of Agriculture and Farmers Welfare for approval.

(e) **Market Intervention Price (MIP):** The Market Intervention Price should not exceed the cost of production.

(f) **Overhead Expenses :** The permissible overhead expenses will be 25% of Market Intervention Price (MIP). However, the MIS Committee may reduce the overheads expenses, as deem appropriate depending upon the nature of crops and prevailing market situation at that particular point of time. However, in case of State/UT opting for making the price difference between the MIP & Sales Price then the overhead expenses shall not be applicable.

(g) **Quantity for procurement:** The target for procurement should not exceed 25% of the anticipated production of the commodity for that particular year/season. However, in exceptional cases, the committee may recommend of more quantity by giving reasons. The final decision, however, shall be subject to the approval of the Ministry of Finance.

(h) **Option for price deficiency payment to farmers :** In place of physical procurement, States may have an option to make differential payment between Market Intervention

Price (MIP) and Selling Price, subject to coverage of 25% of production of crops and maximum of price difference upto 25% of MIP. Loss will be shared between the Centre and State / UTs in the ratio of 50:50 (75:25, in case of North East States). The Selling Price will be decided by a committee constituted under the Chairmanship of Principal Secretary (Agriculture/Horticulture/Cooperation) of implementing state. The details are to be furnished in Annexure –II at the time of submission of proposal by states.

(i) In special cases, where there is a price difference of TOP crops (Tomato, Onion and Potato) between the production and consuming states, in the interest of the farmers, the operational costs incurred by Central Nodal Agencies (CNAs) like NAFED and NCCF in storing and transporting crops from producing state to other consuming states will be reimbursed. The details are to be furnished in Annexure –III at the time of submission of proposal by states/ Central nodal agencies.

(j) The quantum and the maximum ceiling for each intervention related to TOP crops will be as decided by the Price Support Committee constituted under the Chairmanship of Additional Secretary, DA&FW.

(k) **Mode of purchase:** The stocks will be purchased from Cooperative Societies, Farmers' organizations or directly from farmers to eliminate possibility of middlemen taking advantage of the scheme.

(l) **Mode of disposal:** The stocks will be disposed off in the open market. If necessary, this can also be sold to processing units with-in the State. The State agency can take the help of the central nodal agency i.e. NAFED in marketing and/or in transporting of the stock procured by it to places outside the State.

(m) There should be a cap on the **period of stocking after procurement. This period should not be more than 3 months.** In case of exceptional circumstances requiring stocking over 3 months, proper justification should be given and prior approval of the Department of Agriculture and Farmers' Welfare should be obtained. Secondly, in order to avoid recycling, the stock should not be sold in the same state from where it has been procured except in the case of oil palm and perishable horticultural commodities. However, If the prices are better, it can also be sold locally.

(n) **Sharing of losses:** The loss, if any, under the MIS is to be shared on 50:50 basis between Central and State Government concerned. In case of North-Eastern States, it would be on 75:25 basis respectively. The Government shall, however, bear its share of loss incurred in the market intervention operations up to an extent of 25% of the procurement cost which shall include the MIP paid to the farmers, the statutory taxes i.e. the market/mandi sale/purchase tax, commission payable to the agents, grading labour and packing charges, labour charge etc. If there is any loss beyond the above limit, the same shall be borne by the procuring agencies. At the same time, if there is any profit in the MIS operations, the same shall be retained by the procuring agencies.

(o) **Disposal Price**: Disposal price will be fixed by the implementing agencies and will be monitored by the committee which fixed the MIP after considering the circumstances of each case.

(p) **Duration of Scheme**: Initially not more than 30 days. However, it will be extendable on the recommendations of the committee depending on the nature of the crop and peak arrival period of the commodity.

(q) **Procuring Agencies**: . The State Governments should designate the procuring agency/ies & intimate the same in the meeting of the MIS committee.

(r) **Area of Operation**: To be decided mutually between/among procuring agencies.

(s) **Quality to be procured**: Only Fair Average Quality (FAQ) commodity approved by this Department will only be procured under the Scheme.

(t) **The MIS should not be implemented in a State**: in which the State Government is in default of submitting the accounts or meeting its share of loss for any previous MIS operations for more than 6 months.

(u) **Reporting of expenditure**: The procuring agencies will be required to submit expenditure statements on standardized formats for reporting expenses incurred on procurement, carrying and disposal.

(v) **Submission of Audited Accounts**: The audited accounts must reach Central Government within three months of completion of audit. The State agencies will submit the accounts to the State Government, which will then forward them to the Central Government. The Department of Agriculture and Farmers' Welfare will examine the accounts and after accepting the same, it will be sent to Costing Cell of DA&FW for vetting. Post-audited claims, if any, under Market Intervention Scheme can be entertained by the Central Government within one year of settlement of audited accounts of a particular commodity.

(w) **Service charges**: Service charges (presently 2.5% in case of perishable commodities and 1.5% in case of non-perishable commodities) as fixed by the Cost Accounts

Branch, Department of Expenditure, Ministry of Finance will be paid to the Procuring Agencies in addition to the limit of loss upto the extent of 25% of as mentioned in para 3(i). These charges would be on the procurement value of the quantity procured.

(x) **Reimbursement of losses**: Central Government and State Government will reimburse its share of losses to the State designated agencies under MIS. However, if any share of loss is to be reimbursed by Central Government to the State agencies and vice-versa, it will be reimbursed only to the State Government/Central Government as the case may be.

4. It is suggested that State Government may send the information as mentioned in para 3 above as and whenever the proposal for MIS in a horticultural commodity is sent to this Department. In order to facilitate the scheme, a check list is being enclosed at Annexure-I incorporating necessary information relating to the various modalities of the scheme to be considered in a meeting with the State Government.

Annexure – I

PROPOSAL FROM STATE GOVERNMENT FOR IMPLEMENTING MARKET INTERVENTION SCHEME FOR PROPOSED COMMODITY THROUGH PHYSICAL PROCUREMENT MUST CONTAIN THE FOLLOWING INFORMATION

1. Willingness of State Government to share 50% loss incurred, if any, in implementing the MIS for the proposed commodity. In case of North-Eastern States, it should indicate its willingness to share 25% of the loss. However, loss beyond 25% of the total procurement cost will have to be borne by the concerned procuring agencies.
2. Area and production during last five years and estimated production during current season.
3. Cost of production with item-wise break up duly authenticated.
4. Market rates ruled during last five years during procuring season at procuring centers and terminal markets. Any abnormal year may be indicated.
5. Current ruling rates and expected rates during proposed duration both at procuring centers and terminal markets.
6. Crop season with peak arrival period and marketable surplus.
7. Proposed Market Intervention Price for procurement.
8. Target quantity for procurement to be shared equally between Central and State agencies.
9. Duration of the Scheme.
10. Overhead expenses with item-wise break up.
    - (i) Up to procurement level
    - (ii) Till final disposal
11. Likely disposal price.
12. Mode of disposal
13. Estimated loss on targeted quantity based on likely disposal price.
14. Working capital arrangement to be made by State Government for State agencies for making immediate payment to farmers.
15. Details of the last MIS implemented in the three years. What was the impact of that MIS.
16. Proposed date of meeting at New Delhi for discussing the proposal.
17. Storage facilities/cold storage near producing areas and consuming areas.

18. Processing facilities with capacity available in Public/Cooperative/Private Sectors.
19. Any other information relevant to the scheme in support of your proposal mentioned in the guidelines and not indicated above.

Annexure - II

PROPOSAL FROM STATE GOVERNMENT FOR IMPLEMENTING PRICE DEFICIENCY PAYMENT UNDER MARKET INTERVENTION SCHEME FOR PROPOSED COMMODITY MUST CONTAIN THE FOLLOWING INFORMATION

1. Willingness of State Government to share 50% of MIP in implementing the Price deficiency payment under MIS for the proposed commodity. In case of North-Eastern States, it should indicate its willingness to share 25% of the MIP.
2. Area and production during last five years and estimated production during current season.
3. Cost of production with item-wise break up duly authenticated.
4. Market rates ruled during last five years during procuring season at procuring centers and terminal markets. Any abnormal year may be clearly indicated.
5. Current ruling rates and expected rates during proposed duration both at procuring centers and terminal markets.
6. Crop season with peak arrival period and marketable surplus.
7. Proposed Market Intervention Price for procurement.
8. Duration of the Scheme.
9. Total estimated quantity of commodity for Price Deficiency Payment.
10. Total estimated Sale price of the commodity
11. Total estimated expenditure on account of Price Deficiency payment
12. Details of the MIS if any implemented in the last three years. What was the impact of that MIS.
13. Any other information relevant to the scheme in support of your proposal mentioned in the guidelines and not indicated above.

Annexure -III

PROPOSAL FROM STATE GOVERNMENT /CENTRAL NODAL AGENCIES FOR STORAGE AND TRANSPORTATION OF TOP CROPS UNDER MARKET INTERVENTION SCHEME

1. Name of the producing state(s) of TOP crop
2. Name of the consuming state(s) of TOP crop
3. Name of the nodal agency
4. Price of the TOP crop in the producing state (s)
5. Price of the TOP crop in the consuming state(s)
6. Ruling market rates during last five years during procuring season in producing state (s) . Any abnormal year may be indicated.
7. Crop season with peak arrival period and marketable surplus.
8. Proposed Market Intervention Price for procurement.
9. Storage facilities/cold storage near producing areas and consuming areas.
10. Processing facilities with capacity available in Public/Cooperative/Private Sectors
11. Target quantity for procurement to be shared equally between Central and State agencies.
12. Duration of the Scheme
13. Expenses on account of Storage and transportation with item-wise break up.

    (Storage period is restricted to 3 months maximum)

    (i) Cost of storage
    (ii) Transportation details
    (iii) Cost of transportation
14. Likely disposal price at the consuming state(s).
15. Mode of disposal
16. Estimated loss/gain on targeted quantity based on likely disposal price.
17. Any other information relevant to the scheme in support of your proposal mentioned in the guidelines and not indicated above.

Samuel Praveen Kumar
Joint Secretary to Government of India
Krishi Bhawan, New Delhi

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